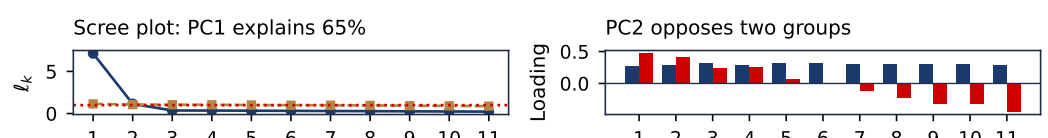
Scree plot: PC1 explains 65%
ℓ_k
5
0
1 2 3 4 5 6 7 8 9 10 11
Component k
PC2 opposes two groups
Loading
0.5
0.0
1 2 3 4 5 6 7 8 9 10 11
Asset
Eigenvalues ℓ_k
Pure noise, same N, T
Kaiser: $\ell_k = 1$
PC1 loadings
PC2 loadings